GUIDELINES TO FINANCE POLICY AND PROCEDURES

2019

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PREFACE | VISION | MISSION

1

SNEHA (Society for Nutrition, Education and Health Action) was established in1999 as a not for profit to work on health issues that women and children from the slums of Mumbai faced. SNEHA was set up by a group of dedicated neonatologists from the LTMG (Sion) hospital, Mumbai as their answers to the desperate situation that they saw mothers and babies in.

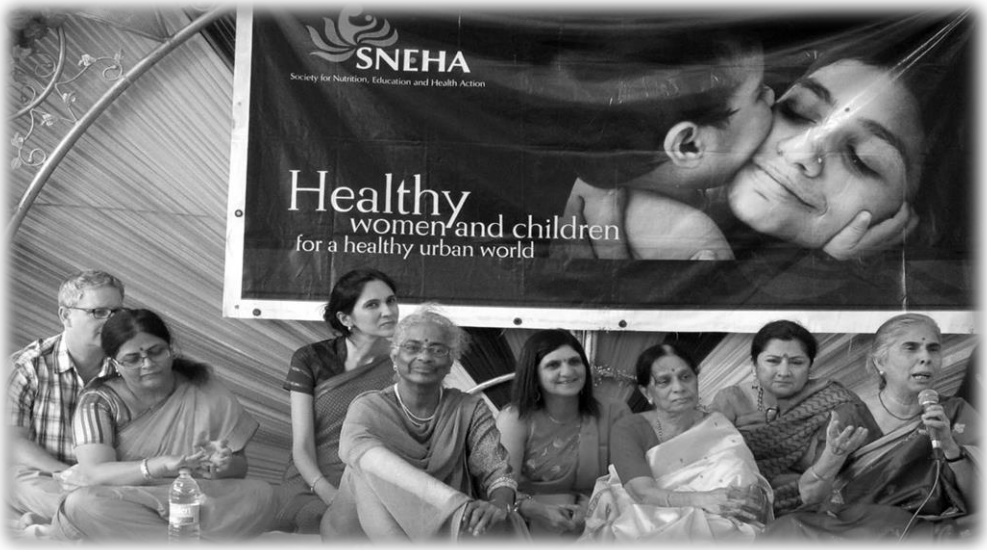
We work across Mumbai city and surrounding Municipal Corporations in the areas of Maternal and Newborn Health, Child Health and Nutrition, Violence against Women and Children and Sexual and Reproductive Health.

SNEHA works towards the vision of ***realizing healthy and safe urban communities*** in the informal settlements of Mumbai and beyond. SNEHA's tested approach to deliver interventions through partnerships with existing public infrastructure enables us not only to leave behind sustained impact within the infrastructure, but also to reach a scale which would otherwise be unimaginable working on our own.

SNEHA believes that A Healthy World Begins with a Healthy Woman.

VISION | A HEALTHY WORLD BEGINS WITH A HEALTHY WOMAN

MISSION | WE WORK IN PARTNERSHIP WITH COMMUNITIES AND HEALTH SYSTEMS BUILDING EFFECTIVE AND REPLICABLE SOLUTIONS, EMPOWERING WOMEN AND THEIR FAMILIES IN URBAN SLUMS TO IMPROVE THEIR HEALTH



VALUES | EXCELLENCE

We achieve excellence by consistently striving for quality through seeking the best in knowledge, practice and outcomes; while holding on to our values of discipline, adaptability and humility.

We believe that “Excellence is work's real reward and not the glory it brings”

| COMMITMENT

We are dedicated to the work we do. It is seen through our passion, initiative and involvement.

| TRUST

We believe in integrity, reliability, freedom; and maintaining transparency.

| NURTURE

We create the environment and provide opportunities for growth by constantly seeking and amplifying what works, for individual, the organization and the society we serve.

We do this by focusing on strengths, guiding and mentoring individuals and communities, recognizing and appreciating efforts; thereby creating a supportive environment for growth.

| VALUING EVERY PERSON

We respect every person, recognize individual strengths and capacities, believe in partnerships and embrace diversity.

For the purpose of conducting the objectives of the organization, funds are received from various sources such as grant making organizations, foundations, corporates, individuals or governmental bodies in the form of grants or donations.

The organization's financial resources are demarcated into:

- Earmarked funds for programs – these are specific funds given to operate programs and conduct specified activities to achieve stated outcomes
- Corpus fund – an unrestricted permanent fund, which may be used in exceptional cases, especially where survival of the organization is at threat
- Free Reserves – these are collected through general donations (not specified for a particular program or corpus) and fundraising activities, and can be used to fund unsupported objectives of the organization

All donations are acknowledged in writing to the donor

BOOK KEEPING

The organization follows the mercantile system of book keeping. Its recording of financial transactions allows monitoring of bank balances, status of funds receipts and expenditures, and a comparative statement of budget vs. actual expenditure on a regular basis.

ACCOUNTING

The organization prepares and submits monthly, quarterly, bi-annual, annual financial reports as required by funding agencies and statutory compliances. Overall half-yearly performance of budget vs actuals are reviewed every six months at the Board meetings. The operating budget of the organization for a given fiscal year is approved by the Board at the start of the financial year and update on funding is reviewed at the Board meetings held every quarter of the financial year.

AUDITING

Books of accounting are audited annually by an independent Auditor/Auditing firm duly appointed by the Board.

TYPES OF ACCOUNTS

- FCRA ACCOUNT: Savings bank account maintained to accept grants and donations from foreign organizations and individuals as per FCRA rules.
- NON-FCRA (DOMESTIC) ACCOUNTS: Savings bank account maintained to accept grants and donations from non-FCRA (Domestic) sources, organizations and individuals.

FUND DISBURSEMENT

All payments towards salaries, professional fees may be made vide direct deposit into bank accounts or cheque.

All advances to staff/consultants towards program/administrative expenses shall be made vide deposits into the bank accounts opened for concerned personnel, who will expend through timely withdrawals. In case such separate bank account is not opened, the advance would be transferred to the bank account notified by the personnel. It is suggested that for better tracking of advances, all personnel who are expected to handle program advances on a regular basis, should preferably open a separate bank account for such advance.

All payments to vendors processed centrally towards advance for payment for program/administrative expenses shall be made vide account payee cheque or bank transfer through NEFT/RTGS.

No payments in cash would be made centrally to any vendor/ staff/ consultant.

All payments towards expenses and purchases made to vendors should be preferably made either vide account payee cheque or bank transfer through NEFT or RTGS. It is recommended to collect bank details of vendors and submit to finance department for processing online payments.

Cash payments would only be allowed for payment to vendors (subject to limits as per below guildelines for cash approval limits) for program/ administrative expenses or purchases by concerned program/ domain team members where payments cannot be made by cheque or bank transfer through NEFT or RTGS

No cash payment above Rs.10000 is allowed.

SIGNATORIES FOR SIGNING CHEQUES

The designated Trustees, CEO, ED and Director, Finance are authorized to sign cheques. Payment can be released by the signatures of any two of the abovementioned signatories.

AUTHORIZED LEVELS OF APPROVING CHEQUE EXPENSES

The level of authority is as follows:

- The Coordinators/ Domain Managers can approve expenses up to Rs. 25,000 on a cheque payment voucher for any one expense/purchase
- The Associate Directors can approve expenses up to Rs. 50,000 on a cheque payment voucher for any one expense/purchase
- The Program/Research/Finance Directors can approve expenses up to Rs. 2,00,000 on a Cheque Payment Voucher, for any one expense/purchase
- The Chief Executive Officer/Executive Director can approve all expenses on a Cheque Payment Voucher, for any one expense/purchase

AUTHORIZED LEVELS OF APPROVING CASH EXPENSES

The level of authority is as follows:

- The Coordinators/Domain Managers can approve expenses up to Rs. 2,000 on a cash payment voucher for any one expense/purchase

- The Associate Directors/Directors can approve expenses up to Rs. 5,000 on a Cash Payment Voucher, for any one expense/purchase. Reasons to be mentioned and approval to be taken from Associate Director level onwards for deviation, wherever cash payment is in excess of Rs.2000 and upto Rs.5000 for any one expense/purchase.
- The Chief Executive Officer/Executive-Director can approve expenses up to Rs. 10,000 on a Cash Payment Voucher, for any one expense/purchase, only after reason for expenditure in excess of Rs.5,000 is provided.
- No cash expenses above Rs.10000 for any one purchase/ expenses would be allowed.

Note: Program personnel can only approve claims for expenses that fall within the purview of the projects they are responsible for.

CASH PAYMENT VOUCHER

The person preparing the Cash Payment Voucher must attach documents substantiating their financial claim

- The Supervisor approving the claim must check that it is related to their project/program/department and that it is an everyday, expected expense incurred for the purpose of undertaking activities of the project/program/department
- Any unexpected expense must be authorized , after checking the budget for the project or approval for reallocation from other budget line item to be taken from funder in case of non-availability of budget
- The Coordinators/Domain Manager/ Associate Director/Director must allocate the cost code of the expense that will be then recorded in the financial system
- **Revenue stamp would be affixed for all payments above Rs. 5,000 and sign of receiver to be obtained across the revenue stamp.**

CHEQUE REQUEST VOUCHER

A completed cheque request form (approved by the concerned Project/Program/Department and authorized by concerned finance personnel), with supporting documentation of payment due must be presented to the authorized signatories before obtaining their signatures on payment cheques. Correct bank name as per bank record to be confirmed before submission of voucher to finance personnel. It is suggested that in case of first time payments, a copy of the first page of bank passbook (which mentions the exact name as per bank records) to be submitted alongwith the voucher. In case of direct remittance to third party, a copy of cancelled cheque of the third party to be attached. It is recommended to collect bank details of vendors and submit to finance department for processing online payments vide NEFT or RTGS.

SUBMISSION OF EXPENSE VOUCHERS AND SETTLEMENT OF ADVANCE

The cycle for submission of expenses in from 26th of previous month to 25th of current month, except for March, where the cycle would be 26th February to 31st March. Vouchers for program expenses (events, trainings, campaigns etc.) – approved by the authorized supervisor by the 28th of every month and submitted by 30th/31st of every month to Finance/Admin departments, which fall within this cycle.

Advance payment request to staff/consultants (for program expenses to concerned SNEHA personnel) and advance cheque request (for advance payments to vendors) – If it is a single event/ meeting/etc., then approval and submission to be done at least one week prior to the event. The processing of payment would

commence after submission of complete and correct details. Only on submission of such completed vouchers/ documents, the voucher would be taken up for processing and such request would take at least 5-6 working days to process the payment.

Note for all advances

All monthly program advances taken should be cleared and submitted to concerned Finance personnel by 30th/31st of every month. The request for program advances must also be submitted by 30th/ 31st of every month for the next month alongwith a detailed budget as per budget format mentioning all the details of expenses.

For one time advance given to staff/vendor - the same to be cleared within one week of event/expenses. New advance will not be sanctioned unless old advance is cleared.

Record-keeping of advance taken :

The Custodian will use a manual/electronic register for daily disbursements and periodic settlement of the advance taken for program/ administrative expenses. The following procedure must be used for accurate record-keeping:

Month: Apr 2019

Date	Particulars	Cost Centre	Debit	Credit	Balance
	Description of each transaction	Cost code of which project and line item to assign each expense	Individual payment amount	Amount Received	Total available at end of each transaction
1st	Opening balance				NIL
2nd	Advance received			Rs. 5000.00	Rs. 5,000.00
4th	Electrical repair	xxxxx	Rs. 500.00		Rs. 4,500.00
13th	Medicines	xxxxx	Rs. 250.00		Rs. 4,250.00
25th	Venue booking	Xxxxx	Rs.2000.00		Rs. 2,250.00
	Total		Rs. 2750.00	Rs. 5000.00	

Advance Summary for Apr 2019:

Opening Balance	NIL
Add: Advance Received	Rs. 5000.00
Less : Payments made	Rs. 2750.00
Closing Balance	Rs. 2,250

PETTY CASH (MAINTAINED BY CENTRAL FINANCE)

Petty cash funds maintained by central finance is to be used only for **emergency expenses/special case** based on approval received Chief Executive Officer/ Executive Director, subject to allowable limit of Rs.10000 per transaction.

Petty cash **MAY NOT** be used for:

- Payment for services performed by employees or non-employees
- Advances against salaries or other emoluments
- Personal loans and cashing personal checks
- Personal expenses

Maintaining a petty cash fund

- The central petty cash fund should not exceed Rs. 50,000 at a given time.
- Accounting for petty cash requires that custodians make payments for authorized expenditures only, obtain signed receipts, and record expenditures. All cash payment vouchers must have supporting documents attached
- The Cash payment Voucher must be signed by the person being reimbursed and approved by the requisite authority for the activity/account charged
- The petty cash expense must also be approved by the respective Coordinators/ Domain Manager/ Associate Director/Director before CEO/ED approval and then the cash voucher is submitted for reimbursement
- The custodian may not approve his or her own expenses, this must be approved by their immediate supervisor and authorized by designated finance personnel.

Custodian responsibilities

- To prevent access by anyone except the custodian, petty cash must be kept in a locked box in a desk or cabinet that is locked whenever the custodian is absent. Only the custodian will have access to the keys. Separate petty cash box to be maintained for Domestic and Foreign funds.
- During absence or vacation, a custodian may place the petty cash fund with a temporary custodian. The temporary custodian and the regular custodian must inventory the petty cash box and prepare a list of cash, receipts and reimbursement requests in process. These must total the value of the petty cash fund. The temporary custodian signs a copy of the inventory as a receipt. The regular custodian retains this receipt since that individual is transferring personal responsibility for the value of the fund. When the regular custodian returns, the same procedures must be followed with the receipt retained by the temporary custodian. The petty cash fund must balance before the returning custodian accepts it.

DISBURSEMENT RESPONSIBILITIES

Office/Project Site	Amount of Float	Custodian
Santacruz Central Petty Cash	Up to Rs. 50,000 (R.25,000 each for Domestic and FC)	Finance team

Accounting for petty cash

- Balancing petty cash funds - when reimbursements by the custodian deplete the amount of cash, receipts are added to account for the expenditures to keep the petty cash fund in balance. At any time, the total cash on hand plus the total receipts and reimbursement requests in process should equal the original amount of the petty cash fund. A petty cash fund should always be balanced before a request is made for replenishment.
- Replenishing petty cash funds – petty cash reimbursement requisition and all cash payment vouchers with receipts attached will be reviewed and authorized by Director Finance before replenishing petty cash funds.

GUIDELINES FOR SUPPORTING DOCUMENTS FOR ANY EXPENSES/ PURCHASES

List of supporting documents/ Requirements for approval of expenses claims :

- Original Invoice/bill- with complete details of vendor like name, address, telephone number, PAN (wherever applicable), signature of vendor, details of expenses/ materials purchased giving number of units, unit cost, total cost. Please prefer to attach proper GST/tax Invoice wherever possible
- In case vendor does not have invoice, please used Vendor Invoice format recommended by Finance department and fill complete details as per format.
- In case of meetings, trainings, events, etc. please provide date of event, details of participants for the same like name, designation, contact number, signature, wherever possible. In case of campaigns, rallies where list of participants is not feasible, event photographs could be provided.
- In case of purchases/ printing, please attach original copy of challan for material/assets received- stationery, weighing scales, cleaning materials, laptops etc.- with proof of receipt- for eg. Receivers signature with date of receipt.
- For all purchases, printing, program expenses- approval of concerned admin personnel alongwith concerned program person is required on the physical vouchers/ invoices/ supporting documents. Only in case of emergency/ urgent payments, vouchers would be processed on email approvals from concerned authorized personnel.
- Copy of Leave and License agreements/ MOU/Contracts/ letter of terms and conditions- for payment for rental payment, services, contractors, consultants, AMC, repairs etc.
- Attach complete bank details for making online payments vide NEFT or RTGS.
- A quotation in case of Advance payment for assets/ expenses
- For Air Travel – Air Ticket, Boarding pass & For Road/ Train Travel- relevant tickets
- For Other expenses-attach food bills, stationery bills, coupons etc.
- Additional supportings- credit card statement
- Full details of resource person who has conducted training
- Full details of person in case of honararium paid for cleaning, etc.
- All supportings to be signed by concerned staff and their supervisors

CASH RECEIPTS :

No cash donations above Rs.2000 would be accepted. All donations above Rs.2000 have to accepted vide cheque or direct transfer.

Any other income by way of training fees or honorarium will be preferred to be accepted by vide cheque or online transfer to SNEHA's designated bank account. Only in case where the remitter does not want to pay vide cheque or bank transfer and where the amount is less than Rs.10000, the same would be accepted in cash, subject to approval from the concerned supervisor.

All other income like scrap or miscellaneous receipts, where the remitter is not able to make the payment vide cheque or direct transfer, would be accepted in cash subject to upper limit of Rs.10000 and only after approval from the concerned supervisor.

All settlements for excess amount paid to staff/ vendors above Rs.2000 to be returned / refunded to SNEHA vide cheque or bank transfer and deposited in the concerned Domestic or Foreign Contribution Account depending upon the original source of payment.

COMMON EXPENSE ALLOCATION (PROJECT MANAGEMENT COST)

SNEHA would allocate share of common expenses/overheads from Central Operating budget to donor budgets @ 10% of program budgets at the time of submission of budgets to donors/ funders as Program Management Cost.

Based on budgets approved by the donor for Project Management Cost, this allocation will be done for common expenses incurred for Central Domains like Senior Management, Finance, Human Resource & Development, Admin, Fundraising, Communications, Information & Research and other central cost listed below :

Salary/Consultancy cost for various centrally located team which are the Senior Management (CEO/ Executive Director/ Strategy Consultant/ Fundraising team), Finance team (Director Finance, Manager- Finance, Coordinator Finance, Finance Officers, Finance Consultants), Human Resource and Admin team (Associate Director- Human Resources and Admin, HR Officer, Coordinator- Admin, Admin Officer, Admin Assistant, Office Assistant), Research & Information Management Team (Research Director, Associate Director- M&E, M&E Coordinators, Database and Network Administrator, Information Management Officer).

Central operating cost for central office for expenses like electricity, security charges, audit fees, professional fees, telephone and internet cost, housekeeping and pantry expenses, office related tea and other refreshments, staff welfare cost, etc. are also allocated under Project Management Cost.

Allocation of Project Management cost is done to the extent of actual expenses and in no circumstances the total allocation to all donors during any financial year can be more than actual expenses for the organization.